

Calendar Line 4

Case Name: Sorillo v. Plenus, Inc. dba YAYOI (Class Action)
Case No.: 23CV415616

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On April 28, 2023, plaintiff Russel Nera Sorillo (“Plaintiff”) began this action by filing a class action complaint against defendant Plenus, Inc. dba Yayoi (“Defendant”). On October 30, 2024, Plaintiff filed the operative first amended class and representative action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum and straight time wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to authorize and permit rest periods; (5) failure to timely pay final wages at termination; (6) failure to provide accurate itemized wage statements; (7) failure to indemnify employees for expenditures; (8) unfair business practices; (9) civil penalties under the Private Attorneys General Act (“PAGA”).

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*),

disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC*

(2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor*; *supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff seeks preliminary approval of a settlement made on behalf of:

All persons employed by Defendant in California and classified as non-exempt employees who worked for Defendant during the Class Period [April 28, 2019, through the date the court grants preliminary approval of the settlement].

(Declaration of Molly DeSario (“DeSario Decl.”), Ex. 1 (“Agreement”), ¶¶ 1.5, 1.12.) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as “all nonexempt employees who were employed by Defendant in California during the PAGA

Period [May 12, 2022, through the date the court grants preliminary approval of the settlement].” (*Id.* at ¶¶ 1.3, 1.31.)

Defendant will pay a gross settlement amount of \$295,000. (Agreement, ¶ 1.22.) This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., \$98,333.33), litigation costs not to exceed \$15,000, a PAGA allocation of \$29,500 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), a service payment of up to \$10,000, and settlement administration estimated to be \$8,450. (*Id.* at ¶¶ 1.34, 3.2.1, 3.2.2, 3.2.3.)

Individual class payments will be distributed to participating class members on a pro rata basis according to the number of workweeks they worked during the class period. (Agreement, ¶ 3.2.4.) The Agreement provides that ILYM Group, Inc. (“ILYM”) will serve as the settlement administrator. (*Id.* at ¶ 1.2.) The court approves ILYM as the settlement administrator. The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be transmitted to Bay Area Legal Aid as the designated *cy pres* beneficiary under Code of Civil Procedure section 384. (Agreement, ¶ 4.4.3.) The court approves the *cy pres* designation.

In exchange for the settlement, class members agree to release Defendant and related persons and entities from all claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the action. (Agreement, ¶¶ 1.39, 1.41, 5.2, 5.3.) Aggrieved Employees will be deemed to release Defendant and related persons and entities from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the action and in the PAGA Notice. (*Id.* at ¶¶ 1.40, 1.41, 5.3, 5.4.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the settlement is fair, reasonable, and adequate. (Motion, pp. 10:1-12:2.) Plaintiff’s counsel explains that, on March 11 and April 8, 2024, the parties

participated in mediation with Mark LeHocky. (DeSario Decl., ¶ 7.) Settlement negotiations were adversarial and at arm's-length. (*Ibid.*) Before mediation, the parties exchanged documents and information, with Defendant providing its wages and hour policies during the class period and information regarding the total number of current and former employees. (*Id.* at ¶ 5.)

Plaintiff's counsel conducted a thorough investigation into the facts of the case, evaluated Defendant's maximum exposure. (DeSario Decl. at ¶¶ 15-25.) According to Plaintiff's exposure analysis of the claims and penalties, Defendant's total maximum potential exposure is \$3,388,758. (*Ibid.*) Plaintiff contends that Defendant's realistic exposure is \$622,338.17. (*Id.* at ¶ 24.) The proposed gross settlement amount of \$295,000 represents 8.7 percent of Defendant's estimated total maximum exposure and 47.4 percent of Defendant's estimated realistic exposure. Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiffs' case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Service Award, Fees and Costs

Plaintiff requests a service award of \$10,000. (Motion, pp. 16:5-17:21.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or

lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Sorillo has submitted a declaration describing his participation in this action. (Declaration of Russel Nera Sorillo, ¶¶ 4-9.) His participation has included gathering documents, communicating with his attorneys, reviewing case documents, and being available during mediation. (*Ibid.*) Plaintiff estimates that he has spent approximately 30 hours of his time on this case. (*Id.* at ¶ 6.)

The court finds that a service award is justified, but the amount requested is more than the court normally awards in similar circumstances. Therefore, the court approves a service award to Plaintiff in the amount of \$7,500.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff’s counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., \$98,333.33). Prior to the final approval hearing, Plaintiff’s counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .” As

interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 366 class members, who can be identified from a review of Defendant’s records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow

in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. However, the second page of the notice in that it suggests that recipients have only basic options under the settlement: do nothing or opt-out. This portion of the notice must be modified to clarify that recipients have a third option: to object. The notice must also be modified to instruct Class Members that they may opt-out or object to the settlement simply by providing their name without the need to provide their phone number or other personal information.

The court requests that the following language regarding the final approval hearing be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is GRANTED. The final approval hearing shall take place on **September 17, 2025**, at 1:30 p.m. in Department 19. The following class shall be preliminarily certified for settlement purposes.

All persons employed by Defendant in California and classified as non-exempt employees who worked for Defendant during the Class Period [April 28, 2019, through March 12, 2025].

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: Kaga FEI Co., Ltd. v. Cypress Semiconductor Corp.
Case No.: 19CV359055

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This action arises from alleged breaches of a distributor agreement. Plaintiff and cross-defendant Kaga DEI Co. (“KFEI”) and defendant and cross-complainant Cypress Semiconductor Corporation (“Cypress”) agreed that KFEI would serve as a nonexclusive distributor of Cypress’s products to Japanese companies (the “Distributor Agreement”).²

On November 25, 2019, KFEI commenced this action by filing a complaint against Cypress, asserting causes of action for: (1) breach of contract; and (2) breach of the covenant of good faith and fair dealing. On May 23, 2022, Cypress filed a Cross-Complaint against KFEI and Cross-Defendant Fujitsu Semiconductor Limited (“FSL”), asserting causes of action for: (1) breach of written contract; (2) breach of the covenant of good faith and fair dealing; and (3) intentional interference with contract.

On March 25, 2024, KFEI filed its operative third amended complaint, asserting causes of action for: (1) breach of Distributor Agreement; (2) breach of the covenant of good faith and fair dealing; (3) fraudulent inducement/intentional misrepresentation; (4) false promise; (5) intentional interference with contractual relations; (6) intentional interference with prospective economic relations; (7) implied contractual indemnity/equitable indemnity.

On October 8, 2024, the court issued an order on the parties’ stipulation, scheduling a jury trial to begin on July 28, 2025, and setting April 15, 2025, as the close of fact discovery. (See *Stipulation and Order Concerning Trial Date, Extension of Deadline to Begin Trial Under*

² On March 9, 2021, Plaintiff notified the court that it changed its corporate name from Fujitsu Electronics Inc. to Kaga FEI Co., Ltd.